ACHELION CAPITAL

ARMS Backtest Performance Report

Architecture AB | 58/20/14/8 | ARMS v4.0

Period: 2024-01-02 to 2025-08-29 | 416 trading days | 7 regime changes

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+104.7%	+101.4%	+39.9%	+64.8pp
ARMS Gross	ARMS Net (2%)	S&P 500	vs S&P Gap

Performance Summary

Metric	ARMS Gross	ARMS Net	S&P 500	QQQ	BTC
Cumulative Return	+104.7%	+101.4%	+39.9%	+44.6%	+150.3%
Annualized Return	+54.3%	+52.3%			
Annualized Volatility	28.9%				
Sharpe Ratio	1.65				
Max Drawdown	-26.1%				
2024 Return	+81.8%	+79.8%	+25.6%	+27.7%	+107.8%
2025 Return	+11.1%	+9.1%	+11.7%	+13.4%	+16.2%

Architecture & Costs

Initial Capital	$500,000,000
Final NAV	$1,023,303,639
Total Trades	290
PTRH Net Cost (Tail Hedge)	$-170,794
PERM Income (Covered Calls)	$10,001,661
LAEP Slippage (Execution Cost)	$1,539,043
Avg Equity Allocation	57.4% (target 58%)
Avg Crypto Allocation	20.2% (target 20%)
Avg Defensive Allocation	10.2% (target 14%)
Avg Cash Allocation	12.2% (target 8%)

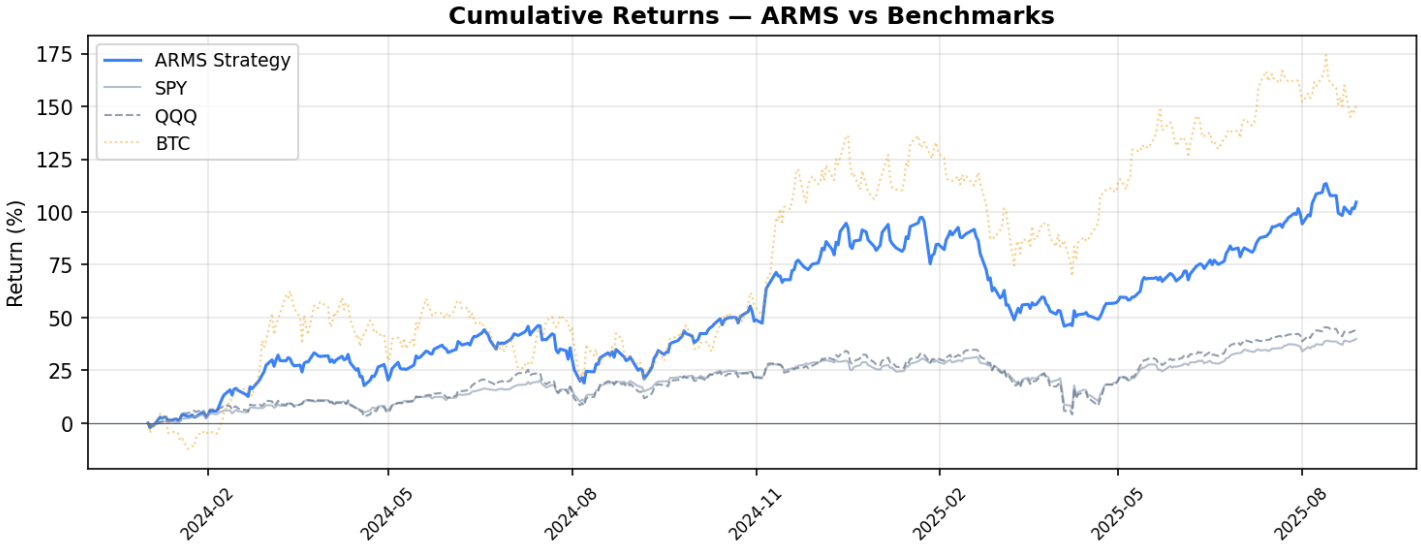
Regime Breakdown

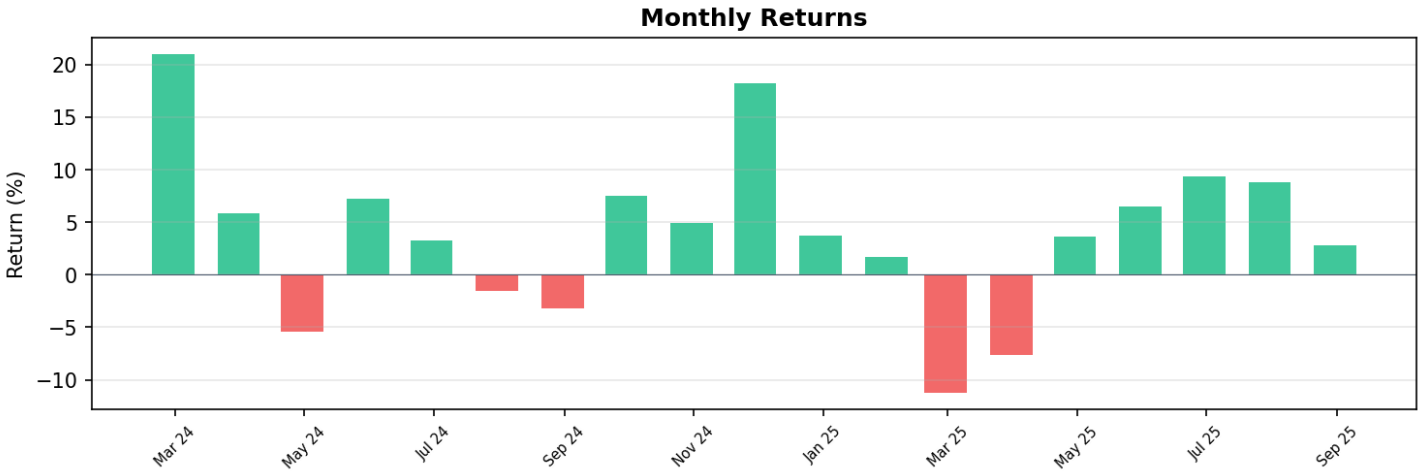
RISK_ON	324 days (77.9%)
WATCH	89 days (21.4%)
NEUTRAL	2 days (0.5%)
DEFENSIVE	1 days (0.2%)
CRASH	0 days (0.0%)

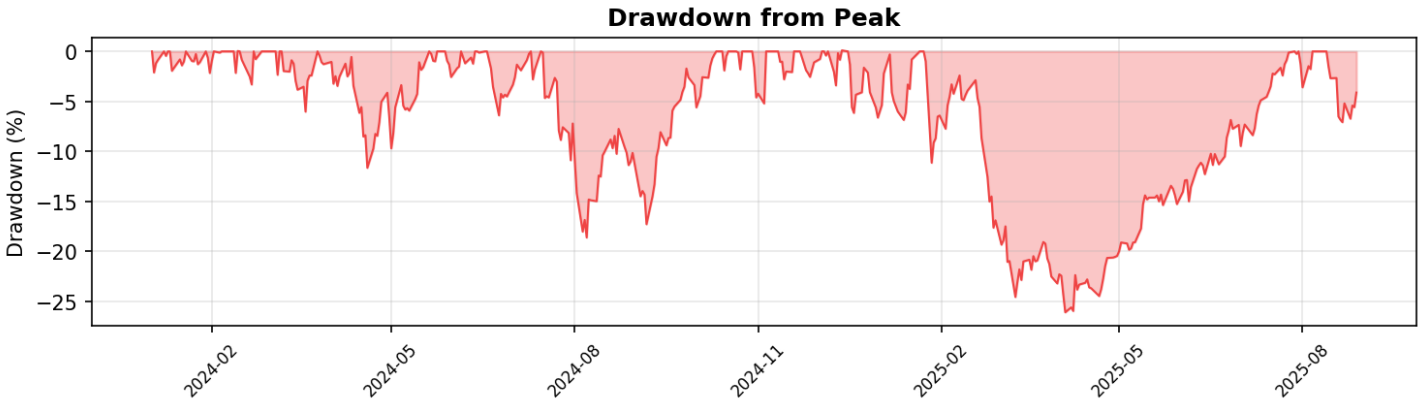
PDS Status Breakdown

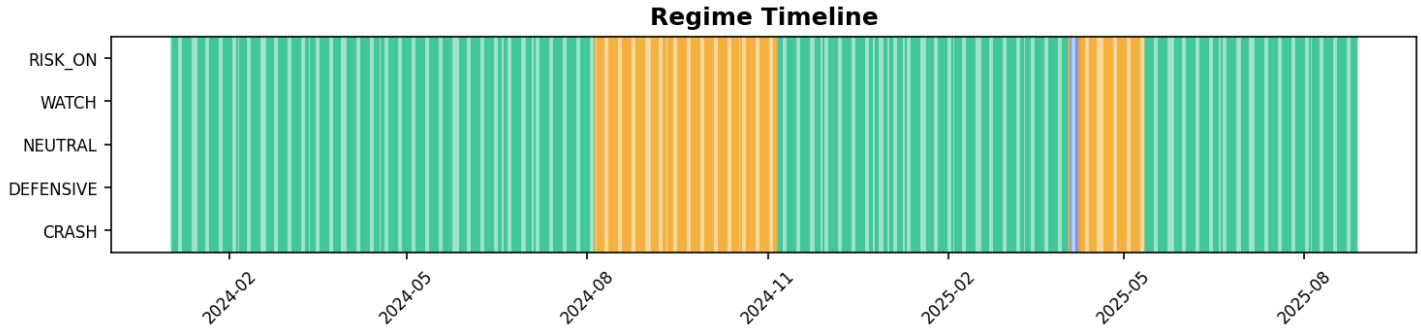
NORMAL	281 days (67.5%)
WARNING	46 days (11.1%)
DELEVERAGE_1	39 days (9.4%)
DELEVERAGE_2	50 days (12.0%)

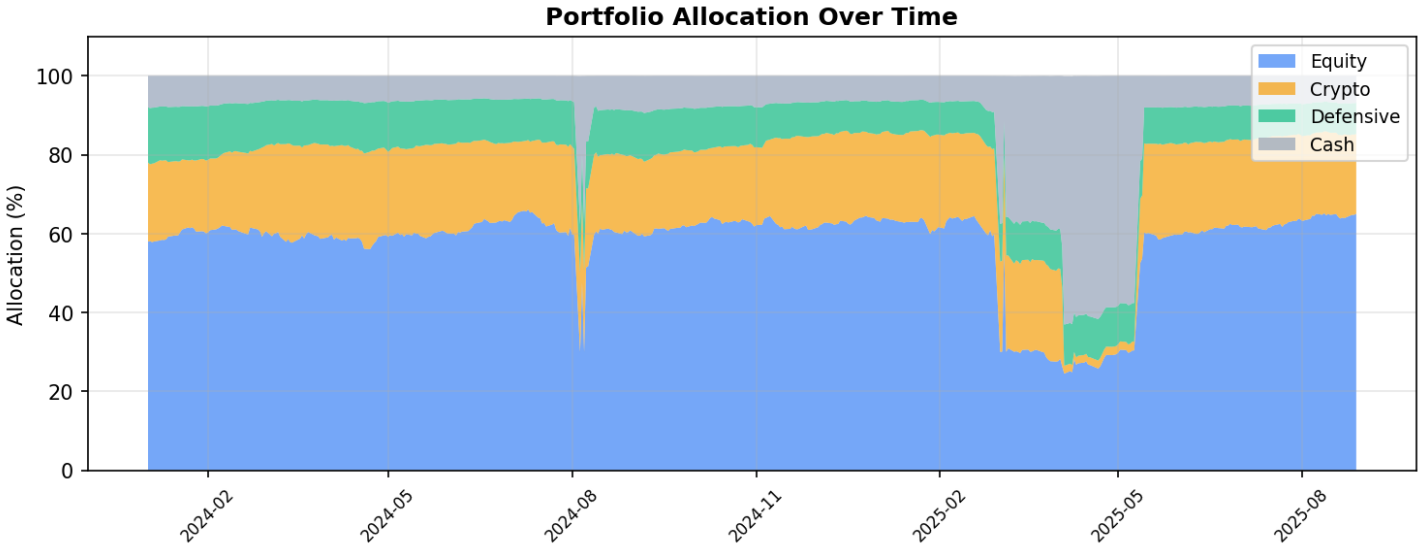
Performance Charts

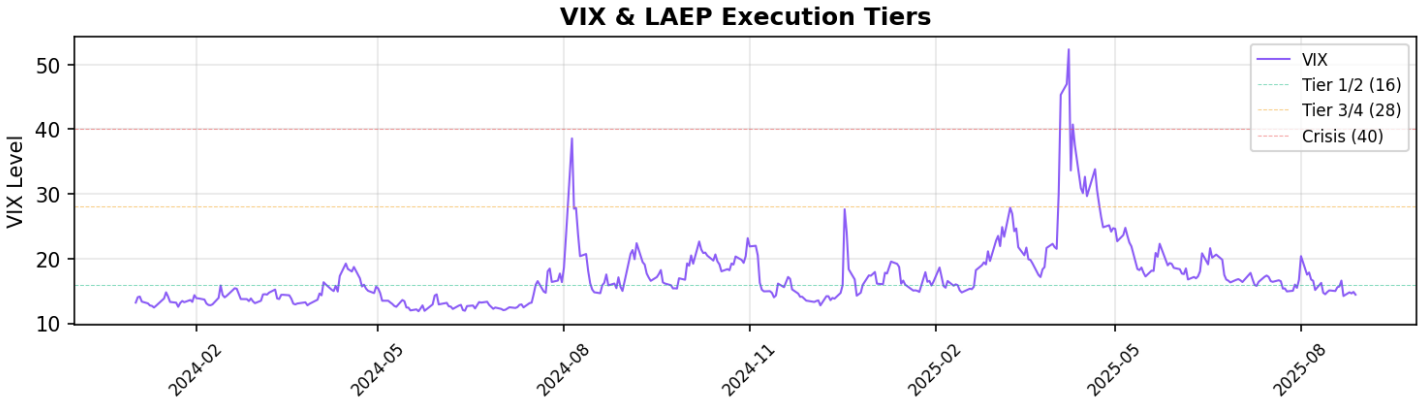







Regime Timeline
RISK_ON
WATCH
NEUTRAL
DEFENSIVE
CRASH
2024-02
2024-05
2024-08
2024-11
2025-02
2025-05
2025-08


Portfolio Allocation Over Time
Allocation (%)
0
20
40
60
80
100
Equity
Crypto
Defensive
Cash
2024-02
2024-05
2024-08
2024-11
2025-02
2025-05
2025-08


VIX & LAEP Execution Tiers
VIX Level
10
20
30
40
50
VIX
Tier 1/2 (16)
Tier 3/4 (28)
Crisis (40)
2024-02
2024-05
2024-08
2024-11
2025-02
2025-05
2025-08

Monthly Detail

Month	ARMS G	ARMS N	QQQ	BTC	DEF%	SPY	Regime	Eq%	Cr%	Cash%
Jan 2024	+2.8%	+2.6%	+3.6%	-5.3%	14%	+2.2%	RISK_ON	60%	18%	8%
Feb 2024	+21.0%	+20.8%	+5.3%	+43.7%	12%	+5.2%	RISK_ON	60%	22%	6%
Mar 2024	+5.8%	+5.7%	+1.3%	+15.6%	11%	+3.3%	RISK_ON	59%	24%	6%
Apr 2024	-5.4%	-5.6%	-4.4%	-14.3%	12%	-4.0%	RISK_ON	60%	22%	7%
May 2024	+7.2%	+7.0%	+6.2%	+11.3%	11%	+5.1%	RISK_ON	60%	23%	6%
Jun 2024	+3.2%	+3.1%	+6.5%	-10.6%	11%	+3.5%	RISK_ON	63%	19%	6%
Jul 2024	-1.5%	-1.7%	-1.7%	+7.1%	11%	+1.2%	RISK_ON	61%	21%	6%
Aug 2024	-3.2%	-3.3%	+1.1%	-8.5%	11%	+2.3%	WATCH	61%	19%	9%
Sep 2024	+7.5%	+7.4%	+2.6%	+7.1%	11%	+2.1%	WATCH	62%	19%	8%
Oct 2024	+4.9%	+4.8%	-0.9%	+10.9%	10%	-0.9%	WATCH	62%	20%	8%
Nov 2024	+18.2%	+18.0%	+5.4%	+38.8%	9%	+6.0%	RISK_ON	61%	24%	7%
Dec 2024	+3.7%	+3.6%	+0.5%	-4.1%	8%	-2.4%	RISK_ON	63%	22%	7%
2024 TOTAL	**+64.3%**	**+62.3%**	**+25.4%**	**+91.7%**		**+23.5%**				
Jan 2025	+1.7%	+1.5%	+2.2%	+9.6%	8%	+2.7%	RISK_ON	62%	23%	7%
Feb 2025	-11.2%	-11.4%	-2.7%	-17.6%	9%	-1.3%	RISK_ON	60%	22%	9%
Mar 2025	-7.6%	-7.8%	-7.6%	-2.2%	10%	-5.6%	RISK_ON	28%	23%	39%
Apr 2025	+3.6%	+3.4%	+1.4%	+14.1%	10%	-0.9%	WATCH	29%	2%	59%
May 2025	+6.5%	+6.4%	+9.2%	+10.4%	9%	+6.3%	RISK_ON	60%	23%	8%
Jun 2025	+9.4%	+9.2%	+6.4%	+3.0%	9%	+5.1%	RISK_ON	62%	22%	8%
Jul 2025	+8.8%	+8.6%	+2.4%	+8.0%	8%	+2.3%	RISK_ON	64%	21%	7%
Aug 2025	+2.8%	+2.7%	+2.1%	-2.8%	8%	+2.7%	RISK_ON	65%	20%	7%
2025 TOTAL	**+13.9%**	**+12.6%**	**+13.4%**	**+22.6%**		**+11.4%**				

Regime Change Log

Date	From	To	VIX	Score	Context
2024-08-05	RISK_ON	WATCH	38.6	0.478	Composite near 0.30
2024-11-06	WATCH	RISK_ON	16.3	0.239	Composite below 0.25
2025-04-03	RISK_ON	WATCH	30.0	0.354	Composite near 0.30
2025-04-04	WATCH	NEUTRAL	45.3	0.850	Composite crosses 0.35
2025-04-08	NEUTRAL	DEFENSIVE	52.3	0.850	Composite crosses 0.50
2025-04-09	DEFENSIVE	WATCH	33.6	0.378	Composite near 0.30
2025-05-12	WATCH	RISK_ON	18.4	0.235	Composite below 0.25

Total regime changes: 7 | Avg frequency: 0.4 per month

Trade Activity Summary

By Action:

BUY	75
SELL	97
SELL_CALL	114
TRIM	4

By Module:

ARES	75
DSHP	2
LAEP	1
PDS	96
PERM	114
REGIME_TRIM	2

Important Disclosures

BACKTESTED PERFORMANCE DISCLOSURE: Results are backtested and hypothetical. ARMS was not live during this period. All figures reflect retroactive application of ARMS v4.0 parameters to actual historical market data.

BTC returns use BTC-USD spot price as proxy. QQQ and SPY returns are actual ETF total returns from public record. Defense sleeve figures (SGOV, SGOL, DBMF, STRC) are approximate within +/-0.5% for DBMF and STRC components.

Management fee of 2.0% per annum applied monthly in Net figures. No performance fee applied. S&P 500 (SPY) is the primary benchmark.

ARCHITECTURE AB: 58% equity / 20% crypto / 14% defensive / 8% cash. Equity sleeve uses individual position selection via MICS conviction scoring with KEVLAR risk limits. Crypto sleeve uses BTC-USD as proxy. Defensive sleeve: SGOV (3%), SGOL (2%), DBMF (5%), STRC (4%).

Regime system: 5-state Macro Compass -> ARAS with hysteresis bands. Tail hedge: PTRH via regime table (10-15% OTM QQQ puts). Execution: LAEP 5-tier system with VIX-adjusted slippage modeling.

Past backtested performance is not indicative of future results. CONFIDENTIAL - prepared for internal use.